

		While Plaintiff asserts he was never issued formal stock, the Complaint alleges “Plaintiff was an investment owner of WSFS....” (§16 of FAC.) Regardless, however, the possible unavailability of a derivative action, does not cure the fundamental standing issue identified by Defendants: “Every action must be prosecuted in the name of the real party in interest, except as otherwise provided by statute.” (Code Civ. Proc., § 367.) Where, as here, the sole damage is alleged to have been inflicted on WSFS, Inc., WSFS, Inc. is the real party in interest. With respect to the Eighth Cause of Action, “[a]n action for an accounting has two elements: (1) ‘that a relationship exists between the plaintiff and defendant that requires an accounting’ and (2) ‘that some balance is due the plaintiff that can only be ascertained by an accounting.’” (<i>Sass v. Cohen</i> (2020) 10 Cal.5th 861, 869.) It remains the case that the sole basis for an accounting alleged against the moving Defendants is the alleged injury to WSFS, Inc., which Plaintiff lacks standing to pursue Based on all the above, the Motion for Judgment on the Pleadings is granted, as against the Third, Sixth, Seventh and Eighth Causes of Action; however, as Plaintiff’s intentions are unclear and as it’s possible Plaintiff can clarify and allege a <i>direct</i> injury, leave to amend is provided. Should Plaintiff desire to file an amended complaint that addresses the issues in this ruling, Plaintiff shall file and serve the amended complaint within 30 days of service of the notice of ruling. Moving Defendants to give notice.
7	Camara vs. Irvine Sensors Corporation	TENTATIVE RULING: <u>Motion 1. Motion to Tax or Strike Costs</u> Defendant Irvine Sensors Corporation moves to tax or strike costs claimed by Plaintiffs Betty Camara, David Hughes, Sharon Anderson, Daniel Berger, Daniel DeBlasio, Jr., Timothy Dicus, Anthony Mastrangelo, David Peter, Raul Ramirez, Grant Yamaguchi, and James Yamaguchi. For the following reasons, the motion is GRANTED.

Moving Defendant's request for judicial notice is DENIED as unnecessary. A court may deny a request for judicial notice, where the material referenced is not "necessary, helpful, or relevant." (*See Zucchet v. Galardi* (2014) 229 Cal.App.4th 1466, 1474, fn. 5 [citing *Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison* (1998) 18 Cal.4th 739, 748, fn. 6].)

Statutory Right to Recover Costs

The right to recover costs of suit is determined entirely by statute. (Code Civ. Proc., § 1032.) "Except as otherwise expressly provided by statute, a prevailing party is entitled as a matter of right to recover costs in any action or proceeding." (Code Civ. Proc., § 1032(b).) (Code Civ. Proc., § 1032(b).) Allowable costs, however, must be "reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation" and "reasonable in amount." (Code Civ. Proc., § 1033.5(c)(2)-(3).) Whether a cost item was reasonably necessary to the litigation is a question of fact for the trial court to determine. (*Foothill-De Anza Comm. College Dist. v. Emerich* (2007) 158 Cal.App.4th 11, 29-30.)

Here, it is undisputed Plaintiffs are prevailing parties and may recover costs against Defendant Irvine Sensors Corporation ("ISC") and John Carson.

The court record shows Defendants John Stuart and Joanne Carson, were dismissed prior to trial (ROA # 204, 220, 226), and Plaintiffs' Request for Dismissal of Defendant Stuart notes that "Plaintiffs agree to bear their own fees and costs relating to the claims asserted against Mr. Stuart." (ROA # 226.)

A plaintiff cannot recover from one defendant the costs to litigate claims against *another* defendant. (*See Charton v. Harkey* (2016) 247 Cal.App.4th 730, 733-734, 739-741 [holding a dismissed defendant is entitled to recover its costs, even if it was united in interest with other unsuccessful defendants].) Therefore, Plaintiffs must show their claimed costs are reasonably necessary to the litigation of Plaintiffs' claims against Defendants ISC and John Carson.

Standard on Motion to Strike or Tax Costs

If the items on a verified memorandum of costs appear to be proper charges, the memorandum is *prima facie* evidence of their propriety, and the burden is on the party contesting them to show that they were not reasonable or necessary. (*Foothill-De Anza Comm. College Dist.*

v. Emerich (2007) 158 Cal.App.4th 11, 29; *Wagner Farms, Inc. v. Modesto Irrigation Dist.* (2006) 145 Cal.App.4th 765, 773-774.)

The party challenging costs bears the initial burden to present evidence and prove the costs are not recoverable; mere statements in points and authorities and conclusory statements by counsel are insufficient to rebut the *prima facie* showing. (*Seever v. Copley Press, Inc.* (2006) 141 Cal.App.4th 1550, 1557; *Jones v. Dumrichob* (1998) 63 Cal.App.4th 1258, 1266.) On the other hand, items that are properly objected to are put in issue, and the burden of proof is on the party claiming them as costs. (*Ladas v. California State Auto. Ass'n.* (1993) 19 Cal.App.4th 761, 774-776.) Whether a cost item was reasonably necessary to the litigation is a question of fact for the trial court to determine. (*Foothill-De Anza Comm. College Dist. v. Emerich* (2007) 158 Cal.App.4th 11, 29-30.)

Challenged Costs (Item 4. Deposition Costs)

Code of Civil Procedure section 1033.5(a)(3) provides for the recovery of costs associated with “necessary depositions.”

Plaintiffs claim \$12,086.44 in deposition costs.

Moving Defendant properly objects to the costs associated with the deposition of dismissed defendant John Stuart. Plaintiffs do not meet their shifted burden to show this deposition was necessary to the litigation of the claims against Defendants ISC and John Carson. The court, therefore, taxes \$2,293.35 of the claimed deposition costs.

Challenged Costs (Item 5. Service of Process)

Code of Civil Procedure section 1033.5(a)(4)(A)-(C) provides for the recovery of costs for service of process by a public official, process server, and publication.

Plaintiffs claim \$765.00 in service of process costs.

Moving Defendant properly objects to the costs for service of process on dismissed defendants John Stuart and Joanne Carson. Plaintiffs do not meet their shifted burden to show service of process on these defendants was reasonably necessary to the litigation of Plaintiffs’ claims against Defendants ISC and John Carson. The court taxes \$325.00 of the claimed service of process costs

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Challenged Costs (Item 11. Court Reporter Fees)

Code of Civil Procedure Section 1033.5(a)(11) provides for the recovery of “[c]ourt reporter fees as established by statute.” (*See also* Cal. Rules Ct., Rule 2.956 [providing that “[i]f the services of an official court reporter are not available for a hearing or trial in a civil case, a party may arrange for the presence of a certified shorthand reporter to serve as an official pro tempore reporter. It is that party’s responsibility to pay the reporter’s fee for attendance at the proceedings, but the expense may be recoverable as part of the costs, as provided by law”].) The “catchall” of subdivision (c)(4) provides that “[i]tems not mentioned in this section and items assessed upon application may be allowed or denied in the court’s discretion” if the prevailing party shows the cost was reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation. (Code Civ. Proc., § 1033.5(c).)

Although trial court reporter costs are expressly not recoverable unless ordered by the court (Code Civ. Proc., § 1033.5(b)(5)), trial transcripts are a recoverable cost in multi-day trials such as this one. (*Warren v. Kia Motors America, Inc.* (2018) 30 Cal.App.5th 24, 42-43 [error to disallow \$5,882.00 claim for trial transcripts for an eight-day jury trial].) “As a practical matter, [plaintiff] would have been unable to defend the jury award without the trial transcripts. At the very least, [plaintiff] would have incurred additional expenses and great difficulty in defending the award without the trial transcripts, in the event [defendant] challenged the jury award in posttrial proceedings or on appeal.” (*Id.* at p. 43; see *Alan S. v. Superior Court* (2009) 172 Cal.App.4th 238, 262 [it is within the trial court’s discretion to award costs for the transcripts of a hearing, as the transcripts tell “the story of this litigation in all its warts and glory,” and they give a reviewing court “a sense of what was happening ‘on the ground’ at the trial level”].)

Plaintiffs claim \$33,619.87 in trial court reporter fees. Plaintiffs later amended their request to claim \$31,224.87 in trial court reporter fees, and now \$30,695.07. Plaintiffs’ supplemental evidence shows these to be proper charges. (*See* Cordes Decl., Ex. F.)

Thus, the court will tax \$2,924.80 and award \$30,695.07 in court reporter fees.